

EPS - Earnings per Share

Next, we will look at the EPS growth rate and compare it with SGR. If the EPS growth rate is much higher than the SGR, the company will need external resources to sustain growth. However, EPS growth higher than SGR is possible if ROE improves.



To sum up:

- ◇ ROE analysis explains the margins, asset turnover, and leverage.
- ◇ The book value growth rate is the company's equity growth rate. The value of the equity grows along with book value growth.
- ◇ SGR is an accounting concept that indicates the rate at which a company can grow sustainably without external capital.
- ◇ And finally, we understood the EPS growth rate, which tells us how quickly the company's earnings grow.

Now you can compare this company's margins with those of another company. This tells us how well the equity side is utilized? If the company is generating good returns for the investors, or if it is struggling.

In the next section, we will discuss the last part of equity-related items.